

MUSTARD SEED — REVENUE MODEL

KEY ASSUMPTIONS	
Average equity stake	12.5%
Portfolio co. growth rate (base)	30%
Consulting rate (non-affiliated, £/hr)	£100
Training session avg fee	£350
Financial advisory avg engagement	£1,000

MONTHLY REVENUE — YEAR 1 (FOUNDER-LED)					
Revenue Stream	Jan	Feb	Mar	Apr	May
Equity Dividends	£0	£0	£0	£0	£0
Paid Training	£0	£0	£0	£500	£500
Financial Advisory	£500	£500	£750	£1,000	£1,000
Non-Affiliated Consulting	£1,000	£1,000	£1,500	£1,500	£1,500
TOTAL MONTHLY REVENUE	£1,500	£1,500	£2,250	£3,000	£3,000

ANNUAL REVENUE — YEARS 1-5					
Revenue Stream	Year 1	Year 2	Year 3	Year 4	Year 5
Equity Dividends / Revenue Share	£0	£5,000	£25,000	£65,000	£140,000
Paid Training Services	£7,000	£22,000	£45,000	£70,000	£100,000
Financial Advisory (Fee-Based)	£12,000	£28,000	£50,000	£70,000	£95,000
Non-Affiliated Consulting	£21,000	£35,000	£55,000	£75,000	£100,000
Equity Exits	£0	£0	£0	£50,000	£85,000
TOTAL REVENUE	£40,000	£90,000	£175,000	£330,000	£520,000

Portfolio Companies (cumulative)	3	7	10	14	18
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Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total Y1
£0	£0	£0	£0	£0	£0	£0	£0
£500	£750	£750	£750	£1,000	£1,000	£1,250	£7,000
£1,000	£1,000	£1,250	£1,250	£1,250	£1,250	£1,250	£12,000
£2,000	£2,000	£2,000	£2,000	£2,000	£2,000	£2,500	£21,000
£3,500	£3,750	£4,000	£4,000	£4,250	£4,250	£5,000	£40,000

MUSTARD SEED — COST STRUCTURE

STARTUP COSTS (SELF-FUNDED)	
Item	Cost
Legal incorporation	£500
Basic insurance (Y1)	£1,500
Website and branding	£1,000
Technology tools	£500
Legal templates	£1,500
Initial marketing	£500
Working capital reserve	£3,000
TOTAL STARTUP COSTS	£8,500

ANNUAL OPERATING COSTS	
Cost Category	Year 1
Founder Drawing / Salary	£18,000
Staff Salaries (from Y2)	£0
Office / Co-working	£0
Legal and Professional	£3,000
Technology and Tools	£500
Marketing and Outreach	£1,000
Insurance	£1,500
Travel and Client Visits	£2,000
Working Capital to Portfolio	£5,000
Contingency (10%)	£3,100
TOTAL OPERATING COSTS	£34,100

HEADCOUNT PLAN	
Role	Year 1
Founder / MD	1
Business Consultant	0
Financial Specialist (PT)	0
Marketing Support (PT)	0
Admin / Coordinator (PT)	0
TOTAL HEADCOUNT	1

Notes
<i>Companies House registration + basic setup</i>
<i>Professional indemnity, public liability</i>
<i>Simple professional website, logo, cards</i>
<i>CRM free tier, accounting software</i>
<i>Equity agreement and secondment templates</i>
<i>LinkedIn, networking events, materials</i>
<i>Buffer for first 6 months</i>

Year 2	Year 3	Year 4	Year 5
£28,000	£35,000	£40,000	£45,000
£42,000	£98,000	£135,000	£160,000
£3,600	£6,000	£9,600	£12,000
£5,000	£8,000	£10,000	£12,000
£1,500	£3,000	£4,000	£5,000
£3,000	£5,000	£8,000	£10,000
£2,500	£4,000	£5,000	£6,000
£3,500	£5,000	£6,000	£7,000
£15,000	£25,000	£35,000	£45,000
£10,410	£18,900	£25,260	£30,200
£114,510	£207,900	£277,860	£332,200

Year 2	Year 3	Hire Trigger
1	1	N/A
1	2	Portfolio reaches 4+ companies
0.5	1	Advisory revenue exceeds £30K/yr
0.5	1	Portfolio needs marketing execution
0.5	1	Admin burden exceeds 10 hrs/week
3.5	6	

MUSTARD SEED — PROFIT AND LOSS PROJECTION

MONTHLY P&L — YEAR 1 (FOUNDER-LED)					
	Jan	Feb	Mar	Apr	May
Revenue	£1,500	£1,500	£2,250	£3,000	£3,000
Operating Costs	£2,100	£2,100	£2,300	£2,500	£2,500
Net Profit / (Loss)	(£600)	(£600)	(£50)	£500	£500

ANNUAL P&L — YEARS 1-5					
	Year 1	Year 2	Year 3	Year 4	Year 5
Total Revenue	£40,000	£90,000	£175,000	£330,000	£520,000
Total Costs	£34,100	£114,510	£207,900	£277,860	£332,200
Net Profit / (Loss)	£5,900	(£24,510)	(£32,900)	£52,140	£187,800
Net Margin %	14.8%	-27.2%	-18.8%	15.8%	36.1%

Cumulative P/L	£5,900	(£18,610)	(£51,510)	£630	£188,430
Portfolio Equity Value*	£30,000	£120,000	£350,000	£700,000	£1,400,000
Total Enterprise Value	£35,900	£101,390	£298,490	£700,630	£1,588,430

*Estimated fair market value of equity positions based on conservative revenue multiples (2-3x) of portfolio c

Jun	Jul	Aug	Sep	Oct	Nov	Dec	Total
£3,500	£3,750	£4,000	£4,000	£4,250	£4,250	£5,000	£40,000
£2,700	£2,800	£2,800	£2,900	£3,000	£3,000	£3,200	£31,900
£800	£950	£1,200	£1,100	£1,250	£1,250	£1,800	£8,100

companies.

MUSTARD SEED — CASH FLOW (BOOTSTRAP)

	Year 1	Year 2	Year 3	Year 4
OPERATING ACTIVITIES				
Training fees received	£7,000	£22,000	£45,000	£70,000
Financial advisory fees	£12,000	£28,000	£50,000	£70,000
Consulting fees received	£21,000	£35,000	£55,000	£75,000
Equity dividends received	£0	£5,000	£25,000	£65,000
Equity exit proceeds	£0	£0	£0	£50,000
Total Cash Inflows	£40,000	£90,000	£175,000	£330,000
Founder drawing	(£18,000)	(£28,000)	(£35,000)	(£40,000)
Staff costs	£0	(£42,000)	(£98,000)	(£135,000)
Office costs	£0	(£3,600)	(£6,000)	(£9,600)
All other operating costs	(£11,100)	(£25,910)	(£43,900)	(£58,260)
Total Cash Outflows (Ops)	(£29,100)	(£99,510)	(£182,900)	(£242,860)
Net Operating Cash Flow	£10,900	(£9,510)	(£7,900)	£87,140
INVESTING				
Capital to portfolio companies	(£5,000)	(£15,000)	(£25,000)	(£35,000)
NET CASH FLOW	£5,900	(£24,510)	(£32,900)	£52,140
Opening Cash	£8,500	£14,400	-£10,110	-£43,010
Closing Cash	£14,400	(£10,110)	(£43,010)	£9,130

Year 5
£100,000
£95,000
£100,000
£140,000
£85,000
£520,000

(£45,000)
(£160,000)
(£12,000)
(£70,200)
(£287,200)

£232,800

(£45,000)

£187,800
£9,130
£196,930

MUSTARD SEED — BREAK-EVEN ANALYSIS

OPERATING BREAK-EVEN				
	Year 1	Year 2	Year 3	Year 4
Total Revenue	£40,000	£90,000	£175,000	£330,000
Total Costs	£34,100	£114,510	£207,900	£277,860
Net Profit / (Loss)	£5,900	(£24,510)	(£32,900)	£52,140

FEE-BASED REVENUE ONLY (EXCL. EQUITY)				
Fee-Based Revenue	£40,000	£85,000	£150,000	£215,000
Fixed Costs (excl. WC deployment)	£29,100	£99,510	£182,900	£242,860
Fee-Only Surplus / (Deficit)	£10,900	(£14,510)	(£32,900)	(£27,860)

Portfolio Companies	3	7	10	14
Portfolio Equity Value	£30,000	£120,000	£350,000	£700,000

Year 1 is cash-flow positive at operating level. Years 2-3 dip as hiring begins.

Full profitability (including working capital deployment) returns in Year 4.

Year 5
£520,000
£332,200
£187,800

£295,000
£287,200
£7,800

18
£1,400,000

MUSTARD SEED — SENSITIVITY ANALYSIS

SCENARIO COMPARISON			
Metric	Stress Test	Pessimistic	Base Case
Y1 Portfolio Companies	0	1	3
Y3 Portfolio Companies	2	5	10
Y5 Portfolio Companies	5	10	18
Client Growth Rate	10%	20%	30%

Year 1 Revenue	£18,000	£25,000	£40,000
Year 3 Revenue	£60,000	£95,000	£175,000
Year 5 Revenue	£150,000	£280,000	£520,000

Y5 Portfolio Equity Value	£100,000	£400,000	£1,400,000
Y5 Enterprise Value			£1,588,430

Operating Break-Even	Year 3	Year 2	Year 1
Full Break-Even (incl. WC)	Not in 5yr	Year 5	Year 4
Survivable?	Yes (consulting cov	Yes	Yes

Optimistic
4
14
25
40%

£55,000
£240,000
£680,000

£2,200,000

Year 1
Year 3
Yes

MUSTARD SEED — CHART DATA

Revenue by Stream (Y1-Y5)					
Year	Equity Income	Training	Financial Advisory	Consulting	Exits
Year 1	£0	£7,000	£12,000	£21,000	£0
Year 2	£5,000	£22,000	£28,000	£35,000	£0
Year 3	£25,000	£45,000	£50,000	£55,000	£0
Year 4	£65,000	£70,000	£70,000	£75,000	£50,000
Year 5	£140,000	£100,000	£95,000	£100,000	£85,000

P&L and Equity Value Trend				
Year	Revenue	Costs	Net Profit	Equity Value
Year 1	£40,000	£34,100	£5,900	£30,000
Year 2	£90,000	£114,510	(£24,510)	£120,000
Year 3	£175,000	£207,900	(£32,900)	£350,000
Year 4	£330,000	£277,860	£52,140	£700,000
Year 5	£520,000	£332,200	£187,800	£1,400,000

Total
£40,000
£90,000
£175,000
£330,000
£520,000

MUSTARD SEED — SERVICE PRICING SCHEDULE

EQUITY-BASED SERVICES (CORE OFFERING)

Service	Equity Cost
Business diagnostic and assessment	Included in equity
Embedded management consulting	10-15% total equity
Operational improvement	Included in equity
Quarterly performance reviews	Included in equity
Portfolio network access	Included in equity

FEE-BASED TRAINING SERVICES

Service	Price
Business fundamentals workshop	£200-£500/session
Skills development course	£150-£350/participant
One-to-one mentoring	£75-£125/hour
Group training (6-8 weeks)	£800-£1,500/participant

FEE-BASED FINANCIAL ADVISORY

Service	Price
Cash flow analysis and forecasting	£500-£1,500
Financial model building	£750-£2,000
Funding readiness and pitch prep	£500-£1,000
Bookkeeping setup and training	£300-£800
Ongoing financial advisory	£200-£400/month

NON-AFFILIATED CONSULTING

Service	Price
Hourly consulting	£75-£150/hour
Project-based engagement	£1,500-£8,000
Monthly retainer	£500-£1,500/month

Structure
<i>Part of Stage 1 (3-5% tranche)</i>
<i>Staged across 3 milestones</i>
<i>Delivered during Stage 2</i>
<i>Ongoing after Stage 2</i>
<i>Lifetime access once equity earned</i>

Notes
<i>Finance, marketing, operations basics</i>
<i>Presentation, negotiation, digital tools</i>
<i>Tailored to individual needs</i>
<i>Structured course with assessments</i>

Notes
<i>Per engagement</i>
<i>Per model</i>
<i>Per engagement</i>
<i>One-time setup</i>
<i>Monthly retainer</i>

Notes
<i>Ad-hoc advisory</i>
<i>Scoped deliverable</i>
<i>Ongoing support</i>